



SUPPORT

A price level where buying interest is strong enough to prevent price from falling further.

PLAIN-LANGUAGE DEFINITION

Support is a level where the price usually stops falling and bounces up because buyers step in.

PROFESSIONAL DEFINITION

Support is a price area on a chart where demand overcomes supply, causing downward movement to pause or reverse. It is identified by repeated reactions at or near the same level.

TODAY'S ANALOGY

The Floor

When price falls to the floor, buyers step in and push it back up — just like the floor holds the weight.

Buyers create the floor. That floor is support.

TODAY'S CHART CLUE

- Price drops to a level and bounces up
- Multiple touches of the same area
- Wicks (shadows) below the level
- Volume may increase on the bounce
- The level holds — at least for now

REAL-LIFE CLUES

- A price many investors think is a good deal
- A price customers refuse to pay less than
- The bottom of a range in real estate
- A law or rule that protects people
- A promise that builds trust

TODAY'S CHALLENGE

Open a chart and find one strong support level.

- Where did price bounce?
- How many times did it bounce there?
- What happened when price broke below it?
- Would you call it strong or weak

MEMORY SENTENCE

Support is where buyers say, ‘Not any lower.’ They create the floor.

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